Table I.—Bond Quality Ratios

Intended as helpful guides, not as inflexible standards nor as exclusive tests

	Earnings protection (B)					Asset protection (A)			
	Times fixed charges earned[1]								
	Net.[2] Better than	Bef. depr., depl., etc.[3] Better than	Income avail. for F. C. to par value of funded debt. Better than	Net income to gross revs. Better than	Operating ratio.[4] Less than	Fixed debt to net property (C). Less than	Net property to gross revs. (B). Less than	Working capital to fixed debt (C). Better than	Curr. assets to curr. liabs. (C). Better than
Heavy Manufacturing Lines:									
Steel	6	10	24%	7%	84%	35%	100%	150%	400%
Machinery	6	8½	24	6	88	50	60	250	400
Miscellaneous Manufacturing Lines:									
Auto accessories	6	9½	24	5	89	50	50	150	350
Building supplies	6	9	24	6	87	30	100	125	400
Chemicals	5	6½	20	15	73	75	125	100	300
Household products	6	9	24	5	90	50	50	150	350
Office equipment	6	7½	24	10	83	50	100	150	350
Paper (non-newsprint)	6	10	24	7	84	35	100	200	400
Extractive Industries:									
Coal	6	11	24	8	81	40	100	150	400
Non-ferrous metal producers	6	10	24	12	74	20	300	100	350
Oil	6	11	24	8	79	30	133	150	300
Food Products Companies:									
Baking and dairy	4	6	16	4	91	66⅔	50	75	200
Miscellaneous food products	5	7	20	6	88	50	75	100	200
Special Inventory Situations:									
Auto tires*	6	11	24	4	90	50	40	200	
Meat packing*	6	11	24	1	97½	33½	15	200	
Non-ferrous metal fabricators*	6	11	24	4	90	40	50	200	